Ador Welding Ltd

Concall Tracker · Q1 2027 filing · NSE/BSE: ADOR · Report date: 24 Jul 2026

What the company does (plain English): Ador Welding makes welding products — the consumable sticks/wires that get melted to join metal, plus the welding machines (power sources) that do the joining — and sells them across India and to about 15 countries. It also runs a small maintenance-and-repair (M&R) consumables business and, until recently, a project-engineering unit that built industrial "flares" and process equipment. Roughly it earns money by selling consumables (repeat, fast-moving) and equipment (lumpier, tied to the capex cycle). It is India's largest home-grown (non-multinational) welding player.

1. Snapshot

Metric	Value	Plain-English read
Market cap	₹2,601 cr	What the whole company is worth on the stock market — a small-cap.
FY26 revenue (Mar 2026)	₹1,135 cr	Total sales for the year; up only ~2% on FY25 (₹1,117 cr) — a slow-growth year.
FY26 net profit	₹83 cr	Profit after all costs and tax; nearly double FY25's ₹43 cr, which had been dragged down by one-off project losses.
FY26 operating margin (OPM)	11%	For every ₹100 of sales, ~₹11 is operating profit (profit before interest, tax, depreciation) — up from 9% in FY25.
Return on capital (ROCE)	22.7%	The business earns ~₹23 a year on every ₹100 of capital put in — a healthy return.
Debt	≈₹3 cr	Borrowings are negligible — the company is effectively debt-free.
P/E ratio	21.7	The share trades at ~22× yearly profit — a moderate valuation.

Source: Screener.in snapshot & standalone financials. Note: the June-2026 quarter (Q1 FY27) result is already reported (sales ₹309 cr, net profit ₹27 cr), but its earnings call had not yet been held at the time of writing, so the newest call analysed here is the Q4 FY26 / full-year FY26 call of 30 Apr 2026.

2. Concall coverage

This is the first Ador Welding report in this tracker (no prior-quarter report to build on), so the last ~4 years of calls were read to establish the trigger and consistency picture.

Call period	Call date	Read?
Q4 FY22 → Q2 FY25 (7 calls: Jun'22, Nov'22, Feb'23, Jun'23, Nov'23, May'24, Nov'24)	Jun 2022 – Nov 2024	Read for backstory
Q4 FY25 (full year FY25)	12 May 2025	Read in full
H1/Q2 FY26 (half-year Sep 2025)	15 Oct 2025	Read in full
Q4 FY26 (full year FY26) ★ latest	**30 Apr 2026**	**Read in full — freshest**

Spans ~4 years / ~10 quarterly calls. One older call (Sep 2019) was unavailable on Screener but falls outside the analysis window. The management voice throughout is MD Aditya Malkani (promoter family).

2b. Latest concall highlights — Q4 & full-year FY26 (call 30 Apr 2026) ★

- **Results:** FY26 revenue ~₹1,135 cr, up only ~2% (volumes roughly flat; steel-price deflation weighed on value). But profit jumped to ₹83 cr from ₹43 cr — full-year gross margin rose ~250 bps to ~38% and EBITDA (operating) margin to ~12%. Plain read: the year was about *margins and clean-up, not top-line growth*.
- **Big clean-up done:** The loss-making ONGC-Uran flares project is ~96–97% complete and its losses are fully booked; the Kuwait (KOC) project finally recovered ₹14 cr of long-pending money; and the merger with Ador Fontech is behind them. Management says the "big-ticket baggage" of the last 2.5 years is now cleared.
- **Structural change:** The Flares & Process Equipment *division has been dissolved* — it is now just a small ₹20–30 cr product line inside welding, run to at least break even, no more large lumpy projects. The company is now effectively a single (welding) segment.
- **New guidance/tone on margins:** Management sees another **100–200 bps of EBITDA-margin improvement** over coming periods, driven by pricing discipline and richer product mix — but declines to give a formal revenue-growth number.

- **Ambition restated:** A ₹1,500–1,600 cr welding revenue "radar" (≈18–20% growth for two years) is called "feasible," and the older ₹2,000 cr-by-FY29 / triple-earnings vision is still the guiding principle — though management stresses the macro must cooperate. Tone: *notably more confident* than a year ago ("standing on solid ground").

2c. Business mix & capacity

- **Domestic vs exports:** ~80–83% of sales are in India; ~17–20% is international (Middle East core — UAE, Oman, Saudi — plus US and Australia). Plain read: roughly four-fifths of the business is domestic. Exports were flattish in FY26 (US hit by tariffs, Saudi soft) after a strong prior run.
- **Capacity & utilization:** Plants run at ~70% overall, but some consumable lines are already at 90–99%. Plain read: decent headroom on average, but the best-selling lines need fresh capex to grow. Capacity ≈90,000 tonnes of consumables + ~30,000 welding machines.
- **Capex:** ~₹30–40 cr/year planned (≈₹10–12 cr maintenance + new consumable lines). Doubling volumes over 5–7 years would need ~₹100–150 cr — modest, self-funded from a debt-free balance sheet.

3. Earning-trigger thesis ★

The core story management keeps pointing to

The earning trigger is **self-help margin expansion plus a cleaner, focused business** — not a demand boom. After years dragged down by the loss-making Uran project, the Kuwait overhang and a messy merger, management has removed those drags and is now squeezing higher margins out of the same revenue through *pricing discipline, a richer product mix (nuclear/wind/nickel consumables, automation & higher-end equipment via the Miller/ITW tie-up), and cost control*. On top of that sits an *optional* growth kicker from new end-markets — shipbuilding, defence, railways and exports — where approvals are being put in place. Profit already almost doubled in FY26 on flat sales, which is the thesis working; the open question is whether volume growth ever joins the margin story.

Trigger	What management said	Evidence so far	Time horizon	Strength
Margin expansion (pricing + mix + cost)	EBITDA margin to keep improving 100–200 bps; 10% is the "bare minimum".	Delivered: EBITDA margin ~9%→~12% and gross margin +250 bps in FY26; profit ₹43→₹83 cr on flat sales.	Ongoing / 1–2 yrs	**Strong** — visibly playing out in the numbers.
Clean-up of loss drags (Uran, Kuwait, merger, flares division)	Take the pain up front, then no more surprises; exit large projects.	Delivered: Uran ~97% done & losses booked, ₹14 cr Kuwait recovery, flares division dissolved.	Largely done	**Strong** — the overhang is essentially gone.
New products & automation (Miller/ITW, nuclear/wind/nickel consumables, cobots/robotics)	Plug product gaps vs multinationals; "best-ever" welding-automation order book.	Partly: partnership live, orders starting, but base is "very tiny" and impact not yet material.	2–3 yrs	**Moderate** — real but early; needs to scale.
New end-markets: shipbuilding, defence, exports	Big Make-in-India shipbuilding push; 75–80% of approvals in place; exports to rebound.	Unproven: mostly approvals & pipeline; exports were flat in FY26; no revenue disclosed.	3–7 yrs	**Moderate–Weak** — optionality, not yet earnings.
Volume/revenue growth to ₹1,500–2,000 cr	"Feasible" 18–20% growth radar; ₹2,000 cr by FY29 principle.	Not showing yet: FY26 sales up only ~2%; volumes flat; management won't formally guide.	3+ yrs	**Unproven** — aspiration ahead of delivery.

4. Management consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
FY22–FY24: Uran flares project	A larger project to "upgrade technological skills"; would turn profitable.	Ran into repeated delays and losses for years; management admits lessons learned; now exited large projects entirely.	**Missed**
FY24–FY25: "profitable in ~6 months" (flares/ services)	Repeatedly said the projects business was ~6 months from break-even.	Slipped multiple times; finally resolved by dissolving the division in FY26 rather than fixing it.	**Missed → then Dropped**
			Missed

FY22–FY25: equipment (machines) mid-teens margin	Promised in almost every call since 2022 that welding-equipment margins would reach ~14–15%.	Never arrived — automation losses dragged equipment EBITDA to ~4.6% in FY24 (Q4 ~2.5%); the timeline kept sliding.	
FY22–FY25: exports as a growth driver	Exports to grow 25–40% p.a.; expand Middle East → Americas/ US → Australia.	Genuinely over-delivered early: ~₹33 cr (FY22) → ~₹120 cr (FY24) with real geographic expansion.	**Delivered (then stalled — see FY26)**
FY23–FY25: Ador Fontech merger	Close "by CY2023 / Q4 FY24"; value creation to follow.	Timing slipped repeatedly (effective Sep 2024) and close brought a surprise ₹32 cr write-off of the non-core 3DFT dental-aligner subsidiary — but integration later delivered.	**Partly (late + one surprise)**
FY25: merger value creation & margin recovery	Merger benefits to show over 6–18 months; margins back toward 10% +.	Delivered: integration ~98% done, FY26 EBITDA margin ~12%, ROCE back to ~23%.	**Delivered**
FY25–FY26: pricing discipline / margin improvement	Hold prices, improve mix; margins to step up.	Delivered clearly — gross margin +250 bps, profit nearly doubled on flat sales.	**Delivered**
FY25–FY26: exports as a growth engine	International business "growing 25%+", USA/Australia focus.	Cooled to flat in FY26 (US tariffs, Saudi soft) — the strong run did not persist.	**Partly**
FY25–FY26: revenue growth / ₹2,000 cr vision	Double revenue in ~4 yrs (25% CAGR); ₹2,000 cr by FY29.	Sales up only ~2–5%; management now hedges heavily and refuses formal guidance.	**Too-early / at risk**

Narrative drift: The tone cooled from "best-ever" confidence (mid-2022 to late-2023) to defensive clean-up (2024), then back to measured confidence (2025–26). Two of the most heavily promoted profit triggers of the earlier period *drifted and disappointed*: (1) welding-**equipment mid-teens margins**, promised in nearly every call since 2022, never arrived as automation losses bit; and (2) the **flares/ONGC-Uran project**, sold in Nov 2022 as a ₹145 cr, ~10% margin catalyst, was repeatedly delayed, booked losses, and was ultimately disowned ("not in our DNA") and the division dissolved. Meanwhile the trigger management under-hyped — **exports** — quietly became the real success story (₹33 cr → ₹120 cr in two years), only to flatten again in FY26. So the picture is a candid, transparent MD whose *load-bearing* promises drifted, offset by an honest willingness to take pain up front and a genuinely delivered margin/clean-up story in FY25–26. The steady thread across all years is the "India's Tier-1 non-MNC welding player closing product gaps" identity. The persistent weak spot is top-line: the ₹2,000 cr / double-revenue ambition has been carried forward for years while actual growth stays low-single-digit, and management increasingly avoids putting numbers on it.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE (leaning positive)

There *is* a concrete, live and evidenced trigger — self-help margin expansion plus the removal of loss-making drags — and it has already shown up hard in FY26 (profit nearly doubled on flat sales). That part is real and Strong. What keeps this a MAYBE rather than a clear YES is that margin gains have a ceiling, and the *volume/revenue* leg of the story (shipbuilding, defence, exports, ₹2,000 cr vision) remains largely unproven — sales have grown only low-single-digit for two years. If demand ever turns, the cleaned-up, debt-free, higher-margin base makes for strong operating leverage; until then the trigger is more "quality of earnings" than "quantity of growth."

Management consistent? → MAYBE (improving)

A mixed but improving record. The 2022–24 flares/Uran saga — repeated "profitable in six months" promises that slipped for years — is a real consistency blemish and the main reason this is not a YES. But management has since been honest about those mistakes, took the pain up front, and delivered exactly what they promised on margins, merger integration and balance-sheet clean-up. The identity and strategy have stayed steady, not drifted. The lingering caution is the top-line ambition (₹2,000 cr by FY29) that keeps being restated without being met. Net: candid, self-aware and delivering on the current promises, but with a track record that still needs the growth promise to land before consistency earns a clean YES.

Sources: Ador Welding Ltd earnings/investor-call transcripts (Screener.in): Q4 FY26 (30 Apr 2026), H1 FY26 (15 Oct 2025), Q4 FY25 (12 May 2025), and 2022–2024 calls for backstory; Screener.in financial snapshot & standalone statements.